

Executive Summary Report

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Recommendation:

We recommend that PowerCo adopts the refined predictive churn model, with a focus on XGBoost and threshold optimization. This approach improves the ability to identify at-risk customers while maintaining strong overall accuracy and reliability.

Situation:

PowerCo is experiencing increasing customer churn in a highly competitive energy market. SME customers, who form a critical part of PowerCo's base, now have multiple provider options and are highly sensitive to pricing and service terms.

Complication:

Although the models achieved high overall accuracy (~91%), initial results showed low recall in identifying churners. This means that many customers likely to leave were not being captured. Through feature selection and threshold adjustments, recall has improved, though further refinement is required.

Question:

How can PowerCo integrate this predictive capability into its retention strategy? Key areas include deploying targeted retention offers, dynamic pricing, and loyalty programs to proactively reduce churn and protect revenue.